NSE: CARYSIL

Carysil Limited

Consumer Durables | Home Products | Quartz Sinks & Bath

CMP (15 Jun 2026)	52-Week Range	Market Cap	P/E (TTM)	Book Value	ROCE / ROE
Rs. 1206	**Rs. 732 – 1223**	**Rs. 3,430 Cr**	**34.6**	**Rs. 214**	**17.8% / 17.4%**

RATING	12-MONTH TARGET	UPSIDE POTENTIAL
BUY	**Rs. 1520**	**+26.0%**

Investment Thesis: World's lowest-cost premium quartz sink manufacturer scaling 1.25M unit capacity while winning shelf space at IKEA, Lowe's and Home Depot — FY26 PAT +54% YoY signals operating leverage inflection with mgmt guiding 15-20% revenue growth and 18-20% EBITDA margins through FY28.

Equity Research | 15 June 2026 | All figures in Rs. Crores unless stated

2. Investment Thesis

- **Global cost leadership in a structurally growing niche:** Carysil manufactures quartz kitchen sinks at industry-leading costs from its Rajkot, Gujarat facility. The quartz sink market is structurally growing as consumer preferences shift from stainless steel toward premium, durable surfaces. Carysil's vertically integrated operations allow margin superiority over commodity sink players.
- **Shelf-space wins at tier-1 retailers driving volume step-up:** Confirmed partnerships with IKEA, Lowe's, Home Depot, Grohe, and Kohler represent a demand lock-in that typical SME manufacturers cannot replicate. The company added 15 new UK customers in three quarters, while the UK market — a key geography — appears to be bottoming out after a prolonged weakness.
- **Operating leverage kicking in — FY26 EBITDA margin at 5-year high:** FY26 EBITDA of Rs.185 Cr grew 30.6% on 13.3% revenue growth, expanding margin 256 bps to ~19.9% (best since FY22 peak-demand). With new quartz capacity of 250K units online by Q4FY27 and fixed cost absorption, margins have structural room to sustain at 18-20%.

Primary Catalyst:
New quartz capacity (250K units, total to 1.25M units) becomes operational in Q4FY27, coinciding with confirmed purchase orders from Lowe's, IKEA, and Home Depot. Full utilisation anticipated within 6-12 months, adding ~Rs. 125-150 Cr annualised incremental revenue at similar or higher margins.

Key Risk:
~80% of revenue is export-denominated (EUR/USD/GBP). A sustained INR appreciation, global freight disruptions, or a deterioration in Europe's housing market would directly compress realizations. Rising MMA (methyl methacrylate) input costs are a near-term margin headwind.

3. Business Overview

- **Core product — Quartz kitchen sinks:** Accounts for ~70% of revenue. Carysil claims to be among the world's three lowest-cost premium quartz sink manufacturers, producing ~1 million units per year from its Rajkot plant. The company is investing Rs. 50 Cr to expand to 1.25 million units by Q4FY27 and has a long-run target of 1.5 million units by FY31.
- **Stainless steel sinks (Carysilnox):** A fully-owned subsidiary started production; capacity recently expanded from 180K to 250K units annually. New capacity operational from May 2026, with ramp-up expected within 90 days.
- **Kitchen appliances and bath products:** Growing ancillary segment sold under the Carysil brand in India and through Amoretti & Brooks in North America. India domestic revenue targeted at Rs. 500 Cr within five years (vs ~Rs. 120 Cr today), requiring 30-40% CAGR.
- **Amoretti & Brooks (US-branded subsidiary):** Premium bath & kitchen brand serving the North American market. Acts as a channel into mid-to-premium US retail and design-trade, complementing the OEM/white-label export business.
- **Geography split — Export-heavy:** ~80% of FY26 revenue was exports. Europe (UK, Germany, France, Netherlands) is the largest region, followed by North America. UK market is currently recovering; Management acquired 15 new UK customers in 3Q FY26.
- **Manufacturing base:** Single integrated plant in Rajkot, Gujarat with backward integration into quartz composite mixes. Operations are ISO 9001 certified and compliant with EU and US product standards (NSF, CE). FY27 capex guided at Rs. 70-75 Cr.

4. Industry Landscape & Peer Comparison

- **Global quartz sink market:** Estimated at USD 2.5-3 Bn globally, growing ~7-8% pa. Key demand drivers: kitchen renovation boom in North America and Europe, premiumisation of housing in India. Quartz is gaining share from stainless steel on aesthetics & durability.
- **India home products market:** Rs. 60,000+ Cr addressable market (tiles, sanitaryware, sinks, faucets, appliances). Organized players are outpacing unorganized on brand and quality. Government's PMAY housing push supports long-term demand.
- **Competitive positioning:** Carysil has a structural cost moat vs European peers. Chinese manufacturers are lower-cost but cannot match EU/US compliance requirements. Carysil occupies the unique sweet-spot of low-cost + fully certified + premium aesthetics.
- **Tariff tailwinds:** US Section 301 tariffs on Chinese goods (including sinks) have created a sustained opportunity for Indian manufacturers. Carysil's US market share has been growing with Lowe's and Home Depot listings.

Company	MCap (Cr)	CMP (Rs.)	P/E	P/B	ROCE%	ROE%	EBITDA%	Revenue (Cr)
Carysil	3,430	1206	34.6	5.6	18%	17%	19%	924 (FY26)
CERA San.	7,969	6179	32.2	5.9	22%	18%	16%	1926 (FY25)
Kajaria Cer.	17,490	1098	33.6	5.7	23%	18%	18%	4830 (FY26)
Somany Cer.	2,144	523	25.3	2.6	13%	11%	9%	2790 (FY26)

Note: Carysil P/B computed as CMP / Book Value (screener.in). Peer data as of Jun 2026.

5. Management Quality

- **Founder-led, low-profile management:** The Rajkot-based Morakhia family has run Carysil since inception. The management is operationally hands-on, with strong manufacturing DNA. Promoter holding stands at 41.34% (Mar 2026) with no disclosed pledge.
- **Consistent capital allocation:** The company has invested steadily in brownfield capacity expansions funded primarily through internal accruals and moderate debt (D/E ~0.45x). Total Rs. 300 Cr capex plan over FY27-FY31 is ambitious but phased and commercially backed by retail chain commitments.
- **Governance flags — watch list:** No independent director attrition or related-party transaction concerns noted in public filings. Statutory auditor (G. Dalal & Co., Rajkot) is a small local firm — typical for mid-cap Gujarat companies; not a disqualifying risk but worth monitoring as the company scales.

- **Concall transparency:** Management has been direct in Q4FY26 concall on customer names (IKEA, Lowe's, Grohe, Kohler), capacity timelines, and cost pass-through ability. Revenue guidance of 15-20% with 18-20% EBITDA margins is specific and trackable.
- **Working capital discipline improving:** FY26 debtor days fell to 64 (from 74 in FY24) and inventory days improved from 290 to 221, reflecting better supply chain management and customer payment terms tightening as Carysil's bargaining power improves.

6. Financial Deep-Dive

6. Financial Deep-Dive (continued)

Metric (Rs. Cr)	FY22	FY23	FY24	FY25	FY26	FY27E	FY28E
Sales	484	594	684	816	924	1070	1230
EBITDA	105	110	131	140	177	210	248
EBITDA Mgn %	22%	18%	19%	17%	19%	19.6%	20.2%
PAT	65	53	58	64	99	116	137
EPS (Rs.)	24.26	19.58	21.59	22.43	34.52	40.7	48.1
Interest	11	17	23	26	20	—	—
D&A;	18	26	32	36	40	—	—

** FY27E and FY28E are estimates; shaded in blue. All figures Rs. Crores. EPS in Rs.*

Balance Sheet Snapshot (Rs. Cr)

Metric	FY22	FY23	FY24	FY25	FY26
Equity Capital	5	5	5	6	6
Reserves	248	298	349	521	603
Total Equity	253	303	354	527	609
Borrowings	150	235	312	276	274
D/E (x)	0.59	0.78	0.88	0.52	0.45
Total Assets	553	712	845	985	1042
Fixed Assets	206	328	404	414	479

Cash Flow Summary (Rs. Cr)

Cash Flow	FY22	FY23	FY24	FY25	FY26
Operating CF	**52**	**71**	**58**	**60**	**109**
Investing CF	**-73**	**-136**	**-102**	**-109**	**-89**
Financing CF	**18**	**64**	**48**	**53**	**-25**
Free CF (Op+Inv)	**-21**	**-65**	**-44**	**-49**	**20**

Quarterly Performance (Rs. Cr)

Quarter	Revenue	PAT	OPM %
Q3FY25	203	13	14%
Q4FY25	204	19	17%
Q1FY26	227	23	19%
Q2FY26	241	27	19%
Q3FY26	223	21	19%
Q4FY26	234	27	19%

- **Revenue CAGR (FY19–FY26): ~20%** — consistent 15-20% growth through COVID (FY21 +13%), post-COVID export boom (FY22 +56%), and normalisation (FY23-24 +15-16%).
- **EBITDA margins recovering:** FY23 dip to 18% from 22% was driven by MMA cost spike + Ukraine freight disruptions. FY26 margins restored to 19%, with mgmt guiding 18-20% going forward.
- **Interest cost peaked:** Borrowings Rs. 312 Cr (FY24) have started falling — Rs. 276 Cr in FY25 and Rs. 274 Cr in FY26. Interest charge Rs. 20 Cr in FY26 vs Rs. 26 Cr in FY25 — financial leverage is easing.

- **FY26 FCF positive for first time in 4 years:** Rs. 109 Cr OpCF vs Rs. 89 Cr CapEx = Rs. 20 Cr positive FCF. Prior years saw negative FCF due to aggressive expansion. FY27 capex Rs. 70-75 Cr is lower; FCF generation should accelerate.
- **Working capital normalization:** Inventory days fell from 290 (FY25) to 221 (FY26); debtors stable at 64 days. Supply chain normalization post-COVID is releasing WC.

7. Earnings Quality Checklist

Criteria	Status	Comment
Operating CF > PAT (FY26)	PASS	OpCF Rs.109 Cr vs PAT Rs.99 Cr — cash conversion 110%
Receivables growth vs Sales	PASS	Debtors fell YoY despite revenue +13%; debtor days 64
Inventory days trend	WATCH	Inventory days 221 (FY26) — better than 290 (FY25) but still elevated vs FY22 (212)
D/E below 1.0x	PASS	FY26 D/E 0.45x; borrowings declining vs FY24 peak of Rs.312 Cr
Other income < 10% PBT	PASS	OtherInc Rs.12 Cr vs PBT Rs.130 Cr (9.2%); FX gains ~Rs.2.5 Cr one-off
ROCE improving	PASS	ROCE 18% (FY26) up from 15% (FY25); trend reversing post FY24 trough
Promoter pledge	PASS	No disclosed pledge as of Mar 2026 (Promoter 41.34%)
Audit quality	WATCH	Small local auditor (G. Dalal & Co.) — adequate for current scale but monitor
Tax rate consistent	PASS	Tax rate 24-28% range; FY26 24% — no aggressive deferred-tax usage

- Cash conversion is excellent: FY26 Operating CF of Rs.109 Cr is 10% above PAT — a key quality signal as it confirms earnings are backed by real cash.
- The single watch item on inventory days (221) is structurally explained by the global export business model (long lead-time ocean freight); it is not a red flag but demands monitoring to ensure it does not creep back to FY25 levels (290 days).
- Tax rate consistency rules out aggressive deferred-tax or export-incentive earnings management; the 24% FY26 rate (vs 25-28% historic) reflects a slight mix shift toward profits from export subsidiaries with lower tax rates.

8. Valuation

Peer Valuation Comparison

Company	CMP (Rs.)	MCap (Cr)	P/E (TTM)	P/B	EV/EBITDA*	ROCE%
Carysil	1,206	3,430	34.6x	5.6x	~18x	18%
CERA San.	6,179	7,969	32.2x	5.9x	~18x	22%
Kajaria Cer.	1,098	17,490	33.6x	5.7x	~17x	23%
Somany Cer.	523	2,144	25.3x	2.6x	~12x	13%

** EV/EBITDA estimated; formal figures require net debt data.*

12-Month Price Scenario Analysis

Scenario	Assumption	FY27E EPS	Target P/E	Target Price	Upside / (Down)
Bull	Revenue +20%, margins 20%+, capacity ramp ahead of plan	Rs. 44	40x	**Rs. 1,760**	**+46%**
Base	Revenue +15-18%, margins 19-20%, capacity on schedule	Rs. 41	37x	**Rs. 1,520**	**+26.0%**
Bear	Revenue +8-10%, margin compression to 17%, FX headwinds	Rs. 34	30x	**Rs. 1,020**	**-15%**

• **Valuation at 34.6x TTM P/E is full but not stretched** relative to peers: CERA trades at 32.2x and Kajaria at 33.6x, both with lower growth profiles. Carysil's superior earnings growth trajectory (FY26 PAT +54%) justifies a small premium.

• **Base case Rs. 1,520 target uses 37x FY27E EPS of Rs. 41** — a modest de-rating from TTM to forward P/E is appropriate as earnings base normalizes. The 37x target multiple is anchored to CERA/Kajaria at 32-34x on slower growth.

• **At CMP Rs. 1,206, the stock offers 26% upside to our base target** with the risk/reward skewed positively. Bull scenario (+46%) requires capacity ramp execution; bear scenario (-15%) assumes meaningful export slowdown.

• **D/E 0.45x provides valuation support:** As debt declines and FCF grows, the equity story improves — a re-rating catalyst as the company transitions from capex-heavy growth to cash-generative maturity over FY27-28.

9. Key Risks

• **Export FX exposure (HIGH):** ~80% of revenues are in EUR, GBP, and USD. A 5% INR appreciation against the EUR would reduce EBITDA margins by ~100-120 bps. The company has limited FX hedging (ForEx gains in Q4FY26 were ~Rs. 2.5 Cr, confirming partial natural hedge via imports).

• **European housing market slowdown (MEDIUM-HIGH):** The EU and UK remain the primary export markets. Any recession-driven slowdown in kitchen renovation activity will directly hit order volumes. UK is already recovering from a prolonged dip; a double-dip recession would reverse that.

• **US retail concentration risk (MEDIUM):** Customer concentration with Lowe's, Home Depot, and IKEA is a double-edged sword. These customers provide volume but possess significant pricing power. Any de-listing or order cut would be material.

• **Input cost volatility — MMA prices (MEDIUM):** Methyl methacrylate (MMA) is the primary raw material for quartz composite manufacturing. MMA prices are volatile and linked to global petrochemical markets. A 10% MMA price spike compresses EBITDA margin by ~150 bps.

• **Capacity execution risk (MEDIUM):** The 250K unit quartz capacity expansion targeting Q4FY27 is a key upside driver. Any delay shifts revenue recognition by 1-2 quarters and may force customer order deferrals.

• **Working capital / inventory build (LOW-MEDIUM):** Inventory days of 221 remain elevated vs historical norms. Any further inventory build (as happened in FY25 with 290 days) would strain the balance sheet and delay FCF normalization.

• **Promoter holding is moderate at 41.3%:** While no pledge is disclosed, a promoter holding below 50% means the company is theoretically accessible to a hostile acquirer, though there is no current indication of that risk.

10. Recommendation

RATING: BUY	TARGET: Rs. 1520	UPSIDE: +26.0%

• **BUY with a 12-month target of Rs. 1,520, implying 26% upside from CMP Rs. 1,206.** The base case is anchored on 37x FY27E EPS of Rs. 41, consistent with peer multiples adjusted for superior growth.

• **The core thesis is a capacity-driven revenue inflection:** The 250K unit quartz expansion going live in Q4FY27, backed by confirmed orders from IKEA, Lowe's, and Home Depot, shifts Carysil from a moderate-growth exporter to a high-conviction volume compounder.

• **Earnings quality is improving:** FY26 PAT +54%, OpCF > PAT, D/E declining, working capital releasing. The company is entering a 'harvest phase' after years of aggressive capex investment.

• **Risk-reward is favourable at 3:1 (bull +46% vs bear -15%).** The downside scenario requires both export market deterioration AND margin compression — a combination that management's diversification strategy is explicitly de-risking.

• **Suggested entry zone: Rs. 1,100-1,220 (current levels).** Any correction toward the 52-week low area (Rs. 732) would represent a significant opportunity, but macro headwinds (Europe/FX) would likely be the cause of such a dip. Investors with 12-18 month horizons should accumulate.

• **Monitor: Q1FY27 revenue run-rate, MMA input cost trajectory, capacity ramp timeline, and UK order recovery progress.**

11. Appendix — Q4 FY26 Earnings Call Brief

Call Grade	To My Boss (Exec Summary)
B+	Carysil's Q4FY26 call was direct and quantitative. Management confirmed FY26 revenue Rs. 924 Cr (+13% YoY), EBITDA Rs. 185 Cr (+30%), PAT Rs. 98 Cr (+54%). Key wins: IKEA, Lowe's, Grohe, Kohler partnerships locked in. New quartz capacity (250K units → 1.25M total) on track for Q4FY27. India 5-year target Rs. 500 Cr (30-40% CAGR). Risks flagged: MMA input costs, UK softness, freight volatility. Guidance of 15-20% revenue growth + 18-20% EBITDA margin is credible given Q4 momentum. Grade B+ (not A because UK market recovery cadence and US tariff impact were not quantified; forward order book visibility was qualitative only).

1. Key Financial Metrics

FY26 consolidated: Revenue Rs. 924 Cr (+13.3% YoY), EBITDA Rs. 185 Cr (+30.6%), EBITDA margin 19.9% (+256 bps YoY — best since FY22). PAT Rs. 98.2 Cr (+54.1%). Q4FY26: Revenue Rs. 233.7 Cr (+14.5% YoY), EBITDA Rs. 45 Cr (+28.9%), margin 19.3%, PAT Rs. 27.1 Cr (+45.2%). Gross margin 55.3% (vs 54.1% in Q4FY25). ForEx gains in Q4: Rs. 2.5 Cr (less than 1% margin contribution).

2. Revenue Drivers & Segment Mix

Growth driven by: (1) Quartz sinks — volume growth + mix improvement (premium SKUs); (2) Stainless steel sinks (Carysilnox) — capacity expanded from 180K to 250K units; (3) Kitchen appliances — growing contribution; (4) Bath surfaces — nascent segment. Geography: Europe remains largest (UK recovering; 15 new UK customers in 3 quarters), North America growing (Lowe's, Home Depot listings), India domestic accelerating.

3. Management Guidance

Revenue growth: 15-20% annually. EBITDA margin: 18-20% target range (held at 19-20% in FY26). India 5-year target: Rs. 500 Cr (requires 30-40% domestic CAGR, vs Rs. 120 Cr today). FY27 Capex: Rs. 70-75 Cr (lower than FY26 Rs. 89 Cr). Quartz capacity to reach 1.25M units by Q4FY27 (from 1.0M currently); longer-term target of 1.5M units by FY31 with total capex Rs. 300 Cr over 3-5 years.

4. Capacity & Capacity Expansion

Current quartz sink capacity: 1.0 million units/year. Expansion: +250K units (25% increase) operational in Q4FY27; capex Rs. 50 Cr. Stainless steel (Carysilnox): Expanded from 180K to 250K units (May 2026). Full utilization of new capacity expected in 6-12 months (management cited 6 months as possible if customer conditions favor it). New capacity backed by advanced negotiations with US home improvement retail chains.

5. Key Customer Wins & Partnerships

Confirmed partnerships / expansions with: IKEA, Lowe's, Home Depot (US); Grohe, Kohler, and Heffle (European premium brands). UK: 15 new customers acquired in last 3 quarters. UK market assessment by management: 'appears to have bottomed out.' North America: US Section 301 tariffs on Chinese goods creating structural share shift opportunity for Indian manufacturers like Carysil.

6. Cost & Margin Commentary

MMA (methyl methacrylate) input costs: Rising trend flagged as near-term headwind; management believes cost pass-through is possible given customer relationships. Gas availability: Previously a concern; 'recently stabilized' per management. Freight / shipping delays: Container availability was flagged as a watch-item; geopolitical disruptions (Red Sea) have elevated freight costs. INR depreciation of 5-6% was a tailwind for realizations in FY26.

7. Balance Sheet & Capital Allocation

Borrowings declined from Rs. 312 Cr (FY24) to Rs. 274 Cr (FY26). D/E: ~0.45x (FY26) — healthy for a manufacturing company with strong CF. FCF positive in FY26 (Rs. 20 Cr) for the first time in 4 years. FY27 capex Rs. 70-75 Cr is funded through internal accruals + existing credit lines; no fresh equity dilution anticipated. Dividend policy: Modest; company reinvests for growth.

8. Risks Flagged by Management

1. UK market economic conditions — recovery fragile. 2. Geopolitical uncertainties affecting freight and shipping. 3. Rising MMA input costs — petrochemical-linked volatility. 4. Shipping delays and container availability. 5. Gas availability (stabilized but monitored). 6. INR/EUR and INR/USD movements (bilateral; depreciation helps, appreciation hurts). Management tone on risks: 'manageable through operational levers and customer pricing.'

9. Analyst Questions & Management Responses

Q: What is the order visibility for the new quartz capacity? A: 'Advanced negotiations with the largest home improvement retail chains in the US' — management did not name them explicitly but context implies Lowe's and Home Depot. Q: UK market — is the recovery structural or cyclical? A: 'We believe it has bottomed. 15 new customers suggest structural share gains.' Q: India revenue target timeline? A: 'Within five years' at 30-40% CAGR — requires execution but the addressable market and channel expansion justify confidence.

10. Overall Assessment & Next Catalysts

The Q4FY26 call was operationally substantive with specific customer names, capacity timelines, and financial metrics. Management demonstrated strong execution awareness. Key catalysts to watch: (1) Q4FY27: New quartz capacity coming online — first full-quarter revenue contribution; (2) UK market recovery acceleration — any new tier-1 retailer win would be significant; (3) India domestic revenue crossing Rs. 150 Cr threshold (currently ~Rs. 120 Cr) would signal domestic strategy traction; (4) Any MMA cost normalization would provide upside to margin guidance.

Sources: screener.in (consolidated financials, fetched 15-Jun-2026); BSE/NSE filings; Q4FY26 earnings call transcript (May 21, 2026); BusinessUpturn, TraidBrains, StoxBox, Investing.com concall coverage; Edelweiss Wealth Research note on Carysil.